Mitani Sekisan 5273

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by SMG9315

			2026	2027
Price:	1,962.00	EPS	204	224
Shares Out. (in M):	70	P/E	9.6	9.0
Market Cap (in $M):	860	P/FCF	10.6	9.7
Net Debt (in $M):	-310	EBIT	18	20
TEV (in $M):	550	TEV/EBIT	4.9	4.0

Description

We believe Mitani Sekisan offers a highly compelling, asymmetric investment proposition for the long-term oriented value investor.

The key components of our investment case that we explore below are:

1. A brief introduction to the core business
2. An industry tipping towards a duopoly
3. Two decades of double-digit compounding under family stewardship
4. Many ways to win, hard to lose

INTRODUCTION TO THE BUSINESS:

Mitani Sekisan was founded in 1946 by Shinichi Mitani in Fukui, Japan. The company began as a gravel producer – "Sekisan" translates to "stone production" – before expanding into concrete products such as retaining walls and drainage channels. In 1963 it entered the precast concrete pile market with the opening of its Kanazu plant, and piles would grow to become the company's most important product.

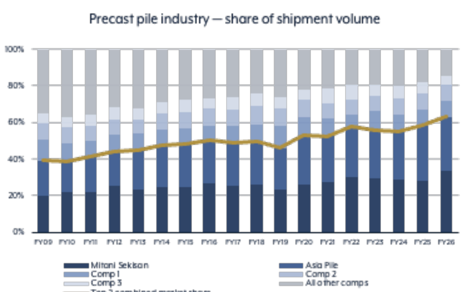
Precast concrete piles are large hollow tubes installed in the ground to connect a building to a soil layer firm enough to bear its weight – often more than 30 metres below the surface. At the start of construction, these piles are lowered into pre-bored holes and fixed in place with a soil-cement mix.

The strength and reliability of foundations is an important issue in Japan, whose major cities sit on alluvial plains in the lower reaches of rivers. These deposits are young geological layers and are generally soft. Furthermore, the Japanese archipelago is one of the most earthquake-prone locations on earth.

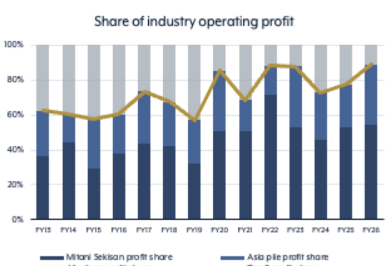
Mitani Sekisan is an integrated manufacturer and method owner: it produces and distributes piles through twelve production sites nationwide, and it owns the proprietary methods by which these piles are installed. These methods require years of R&D, testing and certification before they can be commercialised. The company's flagship is the certified "Hybrid Kneading" method.

AN INDUSTRY TIPPING TOWARDS A DUOPOLY

Over the past quarter of a century the precast concrete pile market has tipped towards a duopoly as the leading companies reap growing returns to scale and incumbency. The two industry leaders, Mitani Sekisan and Asia Pile Holdings, have grown from 39% of industry volume two decades ago to 63% today.



We estimate they collectively earn 90% of industry profits.



The catalyst for this market consolidation was the June 2000 revision of Japan's Building Standards Law. Prior to this amendment, the bearing capacity of a pile was calculated under a uniform government formula, leaving manufacturers little scope to differentiate on performance. The revision opened the way for companies to develop and commercialise more efficient proprietary methods, provided each method obtained ministerial certification.

This shift in the market greatly advantaged scaled players, who could amortise the large, fixed costs of method development over their national footprints. Bringing a new method to market takes years of R&D, load-testing and certification expense. It also requires the development of proprietary tooling, software and the training of a network of installation partners. Faced with these large fixed costs, smaller players have withdrawn from independent method development, either licensing established methods or pooling their efforts through consortia.

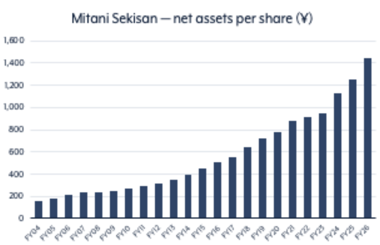
This scale advantage is compounded by the behaviour of the industry ecosystem, whose participants are incentivised to coalesce around the leading methods.

Mitani Sekisan's customers are typically general contractors hired by developers to build warehouses, factories, apartment blocks and office buildings. For these customers, track record is everything. Foundation work is typically only a single-digit percentage of build costs, but errors are difficult to detect and all but impossible to remedy once the structure above is complete. Risk and cost are lowered by going with a proven foundation method which has a track record in comparable ground conditions.

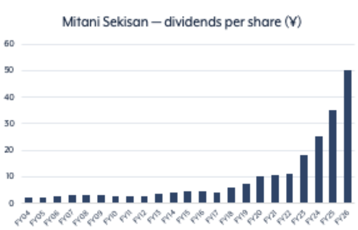
Risk and cost fall further when a method commands a deep pool of experienced installers. Installation is typically carried out by specialist third-party firms that the method owner trains and certifies. These partners develop expertise working with the proprietary tooling that each method demands, and this accumulated know-how increases construction efficiency. No installer will commit to learning a new method without confidence it will win enough work to repay the investment.

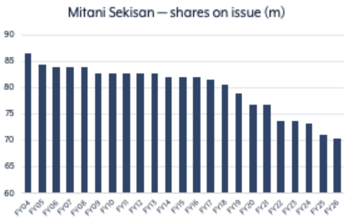
COMPOUNDING UNDER FAMILY STEWARDSHIP

The advantaged position Mitani Sekisan enjoys has been fully exploited by President Shinji Mitani. Under his leadership the business has compounded net income at 11.1% per annum over the past two decades – an eightfold increase in earnings power. Last year the company earnt a 54.0% return on tangible capital employed.



Like many Japanese corporates, Mitani Sekisan historically hoarded cash and built very large investment holdings. Over the past decade, however, the Tokyo Stock Exchange's corporate governance and capital-efficiency reforms have prompted a marked shift in the company's approach to capital allocation. The dividend payout ratio has increased from 9% in FY16 to 26% in FY26. Combined with earnings growth, this has driven an elevenfold increase in dividends per share, while buybacks have reduced the shares on issue by 14% over the same period.





AN ASYMMETRIC INVESTMENT PROPOSITION

Mitani Sekisan currently trades on a PE of 9.6x and PB of 1.3x.

The current market cap is $860m. In addition to $310m in cash, the business also holds listed equities of $250m.

The combination of a modest entry price, a high-return business and substantial asset backing provides us with an asymmetric investment proposition.

To keep things simple, we map out a bull and bear case.

Bull case:

If we are right about the quality of the pile business and management continues to improve capital allocation, we see medium-term upside of multiples of our invested capital.

- NPAT (ex cash and investments) grows at 10% p.a. over the next 5 years and the market ascribes an 18x PE to those earnings as it comes to appreciate the quality of the business and runway for growth: ¥12,370 * 1.1^5 = ¥19,922 * 18 = ¥358,604

- Equities grow at 10% p.a.: ¥40,354 * 1.1^5 = ¥64,991

- Cash assuming 50% average payout ratio and everything else ends up in cash: ¥104,877

- Dividends at 50% of NPAT: ¥55,228

- Total value = ¥583,700, or a 4.3x in 5 years.

Bear case:

Lets assume we are wrong about the quality of the pile business and capital allocation shows no further improvement.

- NPAT declines at 20% p.a. over the next 5 years: ¥14,316 * 0.8^5 = ¥4,691

- Equities grow at 5% p.a.: ¥40,354 * 1.05^5 = ¥51,503

- Cash assuming 30% average payout ratio and everything else ends up in cash: ¥76,599

- Dividends at 30% of NPAT: ¥11,550

- Total value assuming the business trades at 0.6x PB: ¥18,085 (existing book ex cash and investments) + ¥51,503 (equities) + ¥76,599 (cash) + ¥11,550 (dividends) = ¥157,737 * 0.6x (PB for poor business, poor capital allocation in Japan) = ¥94,642, or 31.0% downside in 5 years.

Choose your own numbers, but we believe the risk reward set up is we will make multiples of our money if we are right, with only modest downside if we are wrong. This is the kind of payoff profile we are looking for.

RISKS:

We have researched the risks to this investment (capital allocation, disruption, competition, corporate governance, product liability, etc.) in detail. We don't see anything fatal here - even with a huge erosion of earnings power and a big P/B discount, we would only impair modest amounts of capital.

Catalyst

Value, continued improvements in capital allocation (buyback restarted in July), market coming to appreciate the durability of the concrete pile business

Messages

No messages